INTERNATIONAL MONETARY FUND

CABO VERDE

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THIRD REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT, REQUEST FOR MODIFICATION OF PERFORMANCE CRITERIA, AND REQUEST FOR AN ARRANGMENT UNDER THE RESILIENCE AND SUSTAINABILITY FACILITY—DEBT SUSTAINABILITY ANALYSIS

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Cabo Verde: Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	Moderate
Overall risk of debt distress	High
Granularity in the risk rating	Limited space to absorb shocks
Application of judgement	No

Cabo Verde's overall risk of debt distress remains high, consistent with the last joint WB/IMF Debt Sustainability Analysis (DSA) of June 2023,[1] and the external debt risk continues to be moderate. The detailed risk rating for external debt distress shows that it has little room to accommodate shocks. The present value (PV) of public and publicly guaranteed (PPG) external debt-to-GDP ratio is below the threshold over the forecast horizon and breaches the threshold under the export stress test in line with the debt path of the last DSA. Liquidity indicators (debt service to revenue and to export ratios) continue to be below their respective thresholds under the baseline mainly due to the significantly concessional characteristics of Cabo Verde's external debt. The PV of total public debt-to-GDP ratio is projected to breach the threshold during 2023–2027 under the baseline scenario and breaches the threshold under the stress tests over the forecast period. The

[1] Cabo Verde's debt-carrying capacity is assessed as "strong" as in the previous DSA with a composite index (CI) score of 3.24, which is based on the October 2023 WEO and the 2022 CPIA.

external and overall debt outlook is assessed to be sustainable contingent on meeting several assumptions. These include steady economic growth around potential, consistent fiscal consolidation in line with the ECF program, and significant structural reforms, especially related to State-Owned Enterprises (SOEs). Enhancing the performance of SOEs will help reduce critical fiscal risks and foster a better business environment. Prudent borrowing policies through sourcing mainly concessional external loans and strengthened debt management, as well as measures to enhance the functioning of the government securities market are critical to sustainable debt dynamics over time. In view of Cabo Verde's vulnerability to exogenous shocks, continuous progress in export and output diversification is also needed for long-term debt sustainability.

PUBLIC DEBT COVERAGE

1. The debt coverage in this DSA comprises debt owed by the central government and certain government guarantees. Coverage of the public sector is in line with June 2023 DSA (Table 1). Government guarantees to SOEs' external borrowing are included in the baseline stock of debt (0.9 percent of GDP at end-2022), but publicly guaranteed domestic debt (8.2 percent of GDP at end-2022) and non-guaranteed domestic debt by SOEs are not included. Consistent with the fiscal accounts, social security funds and local governments[2] are excluded from the DSA. The coverage of extra budgetary funds (EBFs) is focused on government support to State-Owned Enterprises (SOEs) through on-lending and capitalization. Authorities are undertaking efforts to widen the coverage and reporting of public sector debt, including through support from the World Bank.[3] External debt is defined on a residency basis.

2. The contingent liability tailored stress test is amended to reflect gaps in the debt coverage discussed above (Table 1). First, the default shock of 0 percent of GDP for the components of general government not captured in the baseline stock of debt is kept at the default level consistent with the size of publicly guaranteed domestic debt of local governments.[4] The social security fund (INPS) financial position is strong, and fiscal risk is minimal, as a result the contingent liability stress test is not adjusted for its exclusion. Second, the default shock of 2 percent of GDP for SOEs' debt is raised to 28.2 percent of GDP to reflect vulnerabilities associated with publicly guaranteed domestic borrowing by all SOEs amounting to bout CVE 20 billion at end-2022 (8.5 percent of GDP); and non-guaranteed domestic debt of a subset of SOEs classified with "very high risk" of insolvency of about CVE 48 billion

[2] Government-guaranteed domestic borrowing of municipalities from the banking system stood at CVE 465 million at end-December 2022 (see Text Table 2 for more details) and it is not included in the contingent liability shock due to its low fiscal risk.

[3] Efforts to expand debt coverage have been supported by the World Bank through the Performance and Policy Actions under the Sustainable Development Financing Policy (SDPF). Specifically, the coverage of the quarterly public debt bulletin has been broadened to include debt of SOEs, the social pension fund, and guaranteed debt from municipalities.

[4] According to authorities, the stock of local government debt is either directly guaranteed by central government or indirectly via the use of future transfer from the central government as collateral.

(19.9 percent of GDP).[5] Third, the default shock of 1.1 percent of GDP is kept for public private partnerships (PPPs). Fourth, with mainly foreign-owned banks that are well-capitalized, Cabo Verde's financial sector appears sound and the default minimum value of 5 percent of GDP for the financial market shock seems appropriate.

3. Ongoing improvements in SOEs' risk assessment and broader fiscal transparency are key steps in the right direction. Financial reporting and governance of the SOEs has improved. Key reform measures include: (i) the adoption of the IMF's SOE Health Check Tool to strengthen the analysis and assessment of fiscal risks from SOEs by the SOEs unit (*Unidade de Acompanhamento do Sector Empresarial do Estado* - UASE) (Q1-2022); (ii) the provision of consolidated information on financial transactions between the government, individual SOEs and the sector in general, to strengthen transparency and facilitate fiscal risk analysis; (iii) enhancing the current annual reports on contingent liabilities, annual SOE performance and the dissemination of quarterly reports on SOEs' performance; (iv) adopting and publishing a comprehensive ownership policy to help further improve the ownership and oversight of the portfolio of SOEs; and (v) the establishment of PARPÚBLICA as the company managing the state's corporate investments and IMOPÚBLICA, as the company managing the state's immovable property. In addition, measures to enhance the set of publicly available information such as *Portal da Transparência* initiative and the *SOE Manager* are welcome.[6]

[5] The quarterly SOE report published by the Minister of Finance discloses the SOEs` risk assessment following the methodology provided by the IMF SOE Health Check Tool. The report assesses the risk of solvency distress through two liability ratios. The following SOEs were classified with very high risk in the Q4 2022 SOE report and included in contingent liability shock: ADR, ADS, AEB, CVFF, ELECTRA, INFORPRESS, NEWCO, TICV, and TACV.

[6] The 'SOE Manager' platform is a digitized ICT tool and database aimed to systematically capture data directly and in real-time from SOEs. Based on the inputs provided by SOEs, it automatically generates aggregate performance information and dashboards for the SOE ownership institution (UASE). This will facilitate the preparation of annual aggregate SOE portfolio and quarterly performance reports which UASE has prepared in recent years. The SOE Manager could also help anticipate potential SOE performance challenges more proactively and inform related fiscal risk analysis.

Figure 1. Cabo Verde: SOEs Risk Map, Q4-2022[1/]

Companies	Q42022					
	Profitability		Liquidity		Solvency	
	ROA	ROE	General	Reduced	Liabilities/Assets	Liabilities/Equity
AdR	Moderate Risk	Very High Risk			Very High Risk	Very High Risk
AdS	Moderate Risk	Very High Risk	Very High Risk	Very High Risk	Very High Risk	Very High Risk
AEB	High Risk	Very High Risk	Very High Risk	Very High Risk	Very High Risk	Very High Risk
APN	Moderate Risk	Low Risk	Very Low Risk	Very Low Risk	High Risk	Very High Risk
ASA	Moderate Risk	Moderate Risk	Very High Risk	Moderate Risk	Moderate Risk	Moderate Risk
BVC	Low Risk	Moderate Risk	Very Low Risk		Very Low Risk	Very Low Risk
CABEOLICA	Low Risk	Low Risk	Low Risk		Moderate Risk	High Risk
CABNAVE	Moderate Risk	Moderate Risk	Very Low Risk	Very Low Risk	Low Risk	Low Risk
CCV	Moderate Risk	Moderate Risk	Very Low Risk	Very Low Risk	Very Low Risk	Very Low Risk
CERMI	Moderate Risk	Moderate Risk	Very Low Risk	Very Low Risk	Very Low Risk	Very Low Risk
CVB	Moderate Risk	Moderate Risk	Very High Risk	Very High Risk	Low Risk	Low Risk
CVFF	Moderate Risk	Very High Risk	Very High Risk		Very High Risk	Very High Risk
CVT	Moderate Risk	Moderate Risk	Very High Risk	High Risk	Moderate Risk	High Risk
ECV	Very Low Risk	Very Low Risk	Moderate Risk		Moderate Risk	High Risk
EHTCV	High Risk	High Risk	Very Low Risk	Very Low Risk	Very Low Risk	Very Low Risk
ELECTRA	Moderate Risk	Very High Risk	Very High Risk	Very High Risk	Very High Risk	Very High Risk
EMPROFAC	Moderate Risk	Moderate Risk	Very Low Risk	Very Low Risk	Low Risk	Low Risk
ENAPOR	Moderate Risk	Moderate Risk	Very High Risk	Very High Risk	Moderate Risk	Moderate Risk
FIC	Very Low Risk	Very Low Risk	Low Risk	Very Low Risk	Low Risk	Low Risk
ICV	Moderate Risk	Low Risk	High Risk		High Risk	Very High Risk
IFH	High Risk	High Risk	Very Low Risk	Very High Risk	High Risk	Very High Risk
INCV	Moderate Risk	Moderate Risk	Very Low Risk	Very Low Risk	Moderate Risk	Very High Risk
INFORPRESS	Moderate Risk	Very High Risk	Very High Risk		Very High Risk	Very High Risk
LEC	High Risk	High Risk	Very Low Risk		Very Low Risk	Very Low Risk
NEWCO	Moderate Risk	Moderate Risk	Very Low Risk		Very High Risk	Very High Risk
NOSI	Very Low Risk	Very Low Risk	Low Risk		Moderate Risk	Very High Risk
RTC	High Risk	Very High Risk	Very High Risk		High Risk	Very High Risk
SCS	Low Risk	Very High Risk	Very High Risk	High Risk	Moderate Risk	High Risk
SDTIBM	High Risk	Very High Risk	Very High Risk	Very High Risk	Moderate Risk	Very High Risk
SISP	Very Low Risk	Very Low Risk	Very Low Risk	Very Low Risk	Low Risk	Very Low Risk
TACV	Very High Risk	Very High Risk	Very High Risk	Very High Risk	Very High Risk	Very High Risk
TECHPARK	Very High Risk	High Risk	Very Low Risk		Very Low Risk	Very Low Risk
TICV	Very High Risk	Very High Risk	Very High Risk		Very High Risk	Very High Risk

Source: Cabo Verdien authorities; and IMF staff estimates.

1/ See Heath Check Tool user guide for a detailed discussion of methodology.

Box 1. Considerations on Broadening DSA Coverage in Cabo Verde

The coverage of the Debt Sustainability Framework (DSF) should be as broad as possible. According to the 2018 IMF Guidance Note on the Bank-Fund DSF for Low-income Countries (GNDSFLIC),[1] the debt perimeter should encompass almost the entirety of public sector debt including private sector debt guaranteed by the public sector, with the exception of public financial corporations. The number of IDA countries improving the transparency in their debt reporting practices is slowly increasing. The World Bank's Debt Reporting[2] heat map shows that in 2021, 13 countries disclose information on central government guarantees (including names of beneficiaries), account payables, collateralization details, and debt-related contingent liabilities. A limited definition of public debt in the DSA can contribute to unexpected increases in the level of debt explained by sources outside the defined perimeter.

If the public sector coverage of the DSA differs from fiscal accounts, additional adjustments are on the fiscal accounts will be necessary to ensure consistency. The debt service-to-revenue ratio, a key indicator of liquidity, requires its numerator and denominator to be consistent (i.e., in terms of scope). If SOEs, a key source of fiscal risk, are part of the public debt, whether directly or through guarantees, it's essential to include any net income they generate in the calculation, as it could be used to repay the debt. The IMF and WB are engaging with the authorities to expand the scope of debt coverage consistently. The launch of the SOE dashboard, an initiative supported by the WB, in October 2023 should pave the way for the inclusion of SOEs domestically guaranteed debt. The SOE manager provides the data needed to widen the DSA perimeter. Bank and Fund staff will engage with the authorities to prepare for the broadening of public debt coverage to include domestically guaranteed SOE debt in the next DSA cycle by separately identifying the debt servicing costs for the guaranteed debt.

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[1] For a detailed discussion see Paragraph 21 and Appendix III of the 2018 IMF Guidance Note on DSF for Low-income Countries.

[2] Debt Transparency: Debt Reporting Heat Map (worldbank.org).

Box 2. Further Reforms Are Needed to Reduce Fiscal Support from the Government to SOEs

Explicit subsidies to SOEs have increased since the pandemic. At end-2022, explicit subsidies to SOEs reached 0.2 percent of GDP and are projected to increase to 0.4 percent of GDP in 2023 according to the budget. The expansion in comparison to the pre-pandemic period is explained by the creation of a compensation to i) the inter-island transportation company and ii) energy/water SOEs to implement social tariff for energy and water targeted to poor households.

The combined fiscal support via on-lending and capitalization was, on average, about 2.4 percent of GDP between 2015 and 2022. During this period, on-lending loans to SOEs totaled on average around 1.4 percent of GDP that were mainly channeled to Electra and TACV. Capitalization flows, in turn, were on average about 1 percent of GDP mainly directed to support TACV.

Fiscal risks from SOEs' domestically guaranteed debt have grown over time. Before the Covid-19 outbreak in 2020, the stock of SOEs' domestically guaranteed debt remained stable, but there were significant quasi-fiscal transactions below the line to SOEs via on-lending and capitalization. After the pandemic, the stock of SOEs' domestically guaranteed debt jumped to about 8 percent of GDP, while quasi-fiscal flows decreased. The DSA for Cabo Verde captures the flows steaming from quasi-fiscal operations but does not capture the stock of SOEs' domestically guaranteed debt.

Recent improvements in data availability are a key step in the right direction to enhance SOE's risk assessment and policy design. In October 2023, the MoF launched the *SOE Manager*, an IT platform developed with the support of the WB and IMF that will allow for the monitoring and evaluation of the SOE sector's performance by automating data collection, processing, and analysis. The new SOE dashboard provides the needed conditions in terms of data to authorities properly design further reforms to reduce the support of the central government to SOEs through explicit subsidies, new guarantees, on-lending loans, and capitalization (Table 1).

Further improvements in the overarching strategy to reduce the fiscal support to SOEs are welcome. The Authorities have embarked on a new SOE reform agenda, adopted through the Council of Ministers Resolution 104/2022. The reform agenda includes uses a bottom-up approach to revising the business plan of key SOEs, aiming to increase their profitability. For example, capitalization expenditures to support TACV are projected to cease in 2025 reflecting the current company business plan which aims to increase routes. However, additional efforts to speed up the privatization agenda and improve the financial performance of loss-making enterprises are needed to reduce the fiscal support to SOEs.

Table 1. Cabo Verde: Fiscal Support to SOEs

Stock of SOE Guaranteed Debt (Percent of GDP)	2015	2016	2017	2018	2019	2020	2021	2022
Domestic Debt (A)	5.4	5.5	5.7	5.5	6.3	8.5	9.8	8.5
External Debt (B)	0.4	0.3	0.9	0.8	0.2	0.9	1.2	0.9
Total SOE-Guaranteed Debt (A+B)	**5.8**	**5.8**	**6.6**	**6.3**	**6.4**	**9.4**	**11.0**	**9.4**

Flow of fiscal support for SOEs (Pecent of GDP)	2015	2016	2017	2018	2019	2020	2021	2022
Explicit subsidies (C)	0.1	0.1	0.0	0.1	0.0	0.1	0.1	0.2
Total flow above the line (C)	**0.1**	**0.1**	**0.0**	**0.1**	**0.0**	**0.1**	**0.1**	**0.2**
Net increase in domestic guarantees (D)		0.1	0.2	-0.2	0.7	2.2	1.3	-1.3
Net increase in external guarantees (E)		0.0	0.6	-0.1	-0.6	0.8	0.3	-0.3
On-lending loans (F)	2.3	2.5	2.1	0.7	1.7	0.9	0.7	0.5
Capitalization (G)	0.8	0.8	0.6	1.9	2.0	0.4	0.4	1.2
Total flow below the line (D+E+F+G)	**3.1**	**3.3**	**3.5**	**2.4**	**3.8**	**4.3**	**2.7**	**0.0**
Total Flow of fiscal support for SOEs (C+D+E+F+G)	**3.2**	**3.4**	**3.5**	**2.4**	**3.9**	**4.4**	**2.7**	**0.2**

Source: Cabo Verdien authorities and IMF staff calculations.

Table 1. Cabo Verde: Coverage of Public-Sector Debt and Design of Contingent Liability Stress

A. Please select "X" for each subsector of the public sector below when it is covered in your public debt data.

	Subsectors of the public sector	Check box
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	X
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	

Public debt coverage and the magnitude of the contingent liability tailored stress test

B. Please customize elements of the contingent liability tailored test, as applicable.

1	The country's coverage of public debt	The central government plus extra budgetary funds, central bank, government-guaranteed debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	28.2	To reflect vulnerabilities associated with guaranteed and non-guaranteed domestic debt.
4	PPP	35 percent of PPP stock	1.2	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5	
	Total (2+3+4+5) (in percent of GDP)		34.4	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

BACKGROUND

A. Evolution and Composition of Public Debt

4. Cabo Verde experienced robust tourism driven growth in the pre pandemic period, which was supported by structural reforms, particularly in the SOE sector. Between 2016 and 2019, growth averaged 5 percent per year, supported by favorable global conditions coupled with important structural reforms, mainly impacting on the SOE sector. Public debt had decreased from its peak of 115.6 percent of GDP in 2015to 109.4 percent in 2019.

5. The COVID-19 pandemic contributed to a substantial increase in external and overall public sector debt levels. Total public sector debt reached 152 percent of GDP at end-2021 up from 109.4 percent in 2019 (Text Figure 1). The increase in the debt ratio was due to the large output contraction of 20.8 percent and a higher public sector overall deficit of 9.3 percent of GDP in 2020, which was financed mainly with increased external concessional borrowing, largely from multilateral institutions to mitigate the impact of the economic shock particularly on the most vulnerable groups.

6. A strong rebound in economic growth in 2022 coupled with fiscal policy tightening resulted in a decrease in the debt to GDP ratio. The tourism driven economic recovery from the pandemic induced recession was strong as the economy grew by 17 percent in 2022. The primary deficit sharply contracted to 2 percent of GDP in 2022 implying a solid fiscal consolidation impulse of 3.4 percent GDP, chiefly explained by a contraction of primary expenditures, vis-à-vis the 2021 primary deficit of 5.4 percent of GDP. The combined effect of robust fiscal consolidation and output recovery caused a significant reduction in the debt to GDP ratio to 127.1 percent of GDP at end 2022.

7. Public external debt is highly concessional and multilateral institutions are the main creditors (Text Table 1). The International Monetary Fund, World Bank, and the African Development Bank account for about 43.8 percent of external public debt. Bilateral creditors account about 19.7 percent of external public debt, of which Portugal is the largest creditor. Debt service cost is moderate with an average interest rate of about 0.93 percent and average maturity of about 17.2 years. The exchange rate risk is low due to the exchange rate peg. The external assessment suggests an undervaluation of the exchange rate and international reserves are at a comfortable level.

Text Table 1. Cabo Verde: External Debt Profile by Type of Creditors, 2022

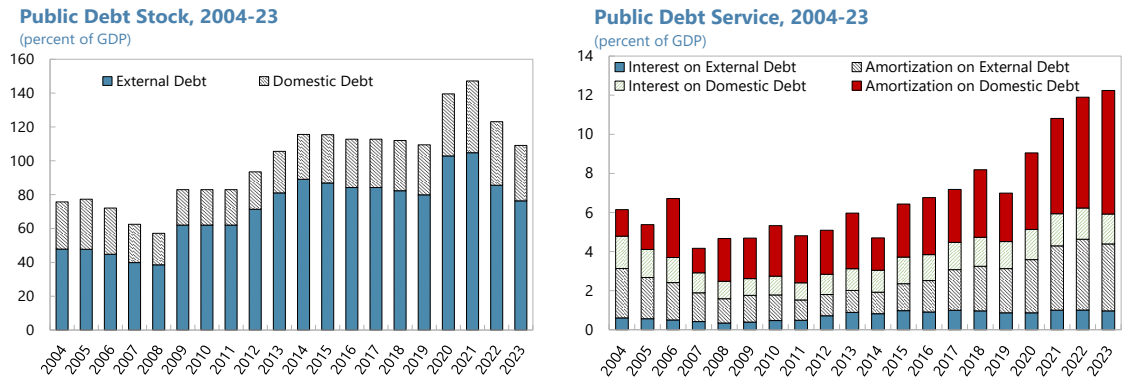
	Percent of GDP	Percent of external debt	Average maturity (in years)	Average interest rate
Multilateral	48.4	56.6	18.8	0.92%
Bilateral	16.8	19.7	11.2	0.85%
Commercial	20.3	23.8	11.4	1.59%
Total external debt	85.6	100.0		

Source: Cabo Verdean authorities and IMF staff estimates.

8. Commercial creditors hold 23.8 percent of external public debt, and commercial debt consists mainly of debt owed to Portuguese based Caixa Geral de Depósitos (CGD). CGD accounts for 82.8 percent of total commercial loans, provided under favorable terms with an average maturity of 11.4 years and average interest rate of 1.6 percent.

9. At end-2022, domestic debt accounted for 30.5 percent of total public debt (Text Figure 1), a slight increase from 29 percent at end-2021. Domestic debt is mostly held by the banking sector in the form of medium and long-term Treasury securities. Treasury bonds accounted for 96.2 percent, with an interest rate of about 3.8 percent. Commercial banks hold 64.2 percent of domestic government securities and non-banks hold 35.8 percent, most of which is with the national social security fund. Access to domestic debt is supported by excess liquidity in the banking system and interest rates on domestic debt remains moderate. The reliance on domestic debt has been largely steady over last decade around 30 percent of total public debt, and the refinancing risk is relatively low as the average maturity is around 7 years. In addition, the sizeable government deposits (about 10 percent of GDP) are an important risk mitigating factor that can be used in a stress event as a source of financing to the domestic debt.

Text Figure 1. Cabo Verde: Profile of Public Debt and Debt Service, 2004–23



Source: Cabo Verdien authorities; and IMF staff estimates.
Note: External debt includes publicly-guaranteed SOE debt from 2015.

10. Debt service on external public debt is moderate. The ratio of public external debt service to exports declined from 14.8 percent in 2021 to 6.3 percent in 2022, reflecting the strong rebound in exports as the tourism sector recovered. The ratio is estimated to decline steadily from 2024 onwards as the economy converges to potential and exports remain healthy due to the expansion of capacity in the tourism sector. The ratio of public external debt service to revenue decreased to about 10.4 percent in 2022 from 13.9 percent in 2021 and is projected to peak to about 17 percent of GDP by 2023 and average about 14 percent over the medium term (2025-2030), declining thereafter. Total public debt service absorbed about 31 percent of revenue and grants in 2022 and is projected to reach 39 percent in 2026 and steadily decline thereafter.

11. Publicly guaranteed debt stood at CVE 26.4 billion (11.2 percent of GDP) at end-2022 (Text Table 2). The State guarantee is mainly issued for SOEs' domestic debt.[7] For 2022, the stock of publicly guaranteed domestic debt consists primarily of liabilities of ELECTRA, Aguas de Santiago, TACV, Prog. Start-up/Ecosistema, NEWCO and ICV and AEB to the domestic banking system; and borrowing by a few municipalities. TACV, ELECTRA, NEWCO, and Prog. Start-up/Ecosistema were the recipients of the largest guarantees in 2022.[8]

Text Table 2. Cabo Verde: Publicly-Guaranteed Debt, 2019–2022

	2019			2020			2021			2022		
	CVE million	Percent of GDP	Percent of debt	CVE million	Percent of GDP	Percent of debt	CVE million	Percent of GDP	Percent of debt	CVE million	Percent of GDP	Percent of debt
External Debt (A)	**395**	**0.2**	**100.0**	**1,655**	**0.9**	**100.0**	**2,243**	**1.2**	**100.0**	**2,121**	**0.9**	**100.0**
contracted by SOEs	395	0.2	100.0	1,655	0.9	100.0	2,243	1.2	100.0	2,121	0.9	100.0
contracted by private entities	0	0.0	0.0	0	0.0	0.0	0	0	0.0	0	0.0	0.0
Domestic Debt (B)	**14,231**	**6.4**	**100.0**	**15,618**	**8.8**	**100.0**	**22,157**	**11.9**	**100.0**	**24,255**	**10.3**	**100.0**
contracted by local governments	363	0.2	2.5	356	0.2	2.3	382	0.2	1.7	465	0.2	1.9
contracted by SOEs	13,858	6.3	97.4	14,972	8.5	95.9	18,175	9.8	82.0	19,865	8.5	81.9
contracted by private entities	9	0.0	0.1	290	0.2	1.9	3,601	1.9	16.3	3,925	1.7	16.2
Total Publicly-Guaranteed Debt (A+B)	**14,626**	**6.6**		**17,273**	**9.8**		**24,401**	**13.1**		**26,375**	**11.2**	

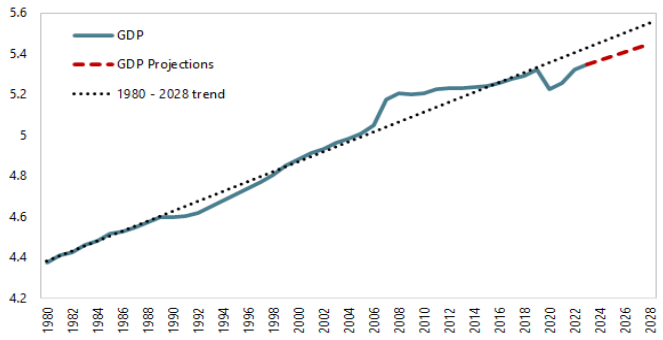
Source: Cabo Verdean authorities and IMF staff calculations.

12. Historical private external debt derived from international investment position (IIP) data indicate a stock of about 18.1 percent of GDP at end-2022. Private debt includes both bank and non-bank external debt.

B. Outlook and Key Macroeconomic Assumptions

13. Compared to the last DSA (June 2023) the macroeconomic assumptions underlying the projections have been kept roughly stable. Inflationary pressures are expected to remain elevated in 2023 although declining from the highs of 2022, as the pass through from international oil and food prices continue to affect Cabo Verde with imports accounting for about 80 percent of consumption products.

Text Figure 2. Cabo Verde: Real GDP
(Millions of 2015 CVE, log scale)



[7] While information about the stock of domestic guarantees granted to SOEs and its implied debt service is available, the lack of data on SOEs revenues and net income prevents its inclusion in the DSA baseline (Box 1). The WB and the IMF will work with Authorities to improve data with a view to inclusion of domestic SOE guarantees in the next DSA.

[8] Annual financing needs of TACV, after its nationalization in July 2021, are estimated at 1 percent of GDP and has been financed through direct capitalization and central government guaranteed domestic loans.

14. The level of GDP from 2019 to 2022 was revised in Q1 2023 to further finetune the completion of the rebasing of the national account statistics from 2007 to 2022.[9] The published data indicates nominal GDP in 2022 was 4.5 percent lower compared to the last DSA reflecting a more accurate measure of the services sector due to a further revision of the GDP rebasing from 2007 to 2015.

15. GDP growth is projected to be broadly in line over the medium term compared to the last published DSA (IMF Country Report No. 23/262). Real GDP contracted by 20.8 percent in 2020 due to the impact of the COVID19 pandemic. Economic growth rebounded strongly over the next two years to reach 5.6 percent in 2021 and 17 percent in 2022, with output surpassing the pre pandemic level. The real growth rate is projected to decelerate to 4.5 percent in 2023 moving towards around 4.7 percent over the medium and thereafter converging to potential growth of 4.5 percent. (Text Figure 2 and Text Table 3).

Text Table 3. Cabo Verde: Assumptions for Key Economic Indicators, 2022–43

	2022	2023 Proj.	2024 Proj.	2025 Proj.	2026 Proj.	2027 Proj.	2028 - 32 Proj.	2033 - 43 Proj.
Real GDP growth								
Current DSA	17.1	4.5	4.7	4.7	4.6	4.6	4.5	4.5
June 2023 DSA	17.7	4.4	4.5	4.6	4.6	4.7	4.5	4.5
2022 ECF Request	4.0	4.8	5.7	5.5	5.0	4.5	4.5	4.5
GDP Deflator								
Current DSA	7.7	4.7	2.0	2.0	2.0	2.0	2.0	2.0
June 2023 DSA	6.4	4.5	2.0	2.0	2.0	2.0	2.0	2.0
2022 ECF Request	4.5	2.6	2.0	2.0	2.0	2.0	2.0	2.0
Fiscal balance (including grants)								
Current DSA	-4.3	-3.4	-3.4	-2.1	-1.2	-0.4	-0.9	-1.5
June 2023 DSA	-4.2	-4.4	-3.2	-2.4	-2.4	-0.6	-0.7	-2.1
2022 ECF Request	-6.3	-5.6	-4.0	-2.1	-0.9	-0.8	-1.4	-2.9
Overall financing needs (including onlending)								
Current DSA	-4.3	-4.0	-3.6	-2.3	-1.3	-0.4	-0.9	-1.5
June 2023 DSA	-4.2	-3.7	-4.0	-2.4	-2.4	-0.6	-0.7	-2.1
2022 ECF Request	-7.0	-6.2	-4.2	-2.3	-1.1	-0.8	-1.4	-2.9
Current account balance (including grants)								
Current DSA	-3.7	-5.9	-6.1	-6.3	-5.8	-5.4	-3.7	-1.5
June 2023 DSA	-3.6	-5.6	-4.6	-4.4	-4.4	-3.7	-3.2	-1.9
2022 ECF Request	-14.1	-6.2	-5.9	-4.7	-4.6	-4.2	-3.6	-3.2
Total Debt/GDP Ratio								
Current DSA	127.1	119.9	116.2	111.2	105.4	99.4	83.5	58.3
June 2023 DSA	121.2	112.8	109.7	106.0	102.2	96.6	81.4	59.0
2022 ECF Request	145.9	139.7	132.5	124.0	116.2	109.5	94.2	73.9
Cv$/USD exchange rate (e-o-y)								
Current DSA	104.1	99.7	99.4	99.0	99.1	99.5	99.9	99.9
June 2023 DSA	104.1	104.3	104.7	105.1	105.5	106.4	107.5	107.5
2022 ECF Request	98.5	96.9	95.8	95.0	94.5	94.2	94.2	94.2

Sources: Cabo Verdean authorities; and IMF staff estimates and projections.

16. Medium- and long-term growth will be supported by the successful implementation of structural reforms aimed at improving public sector efficiency, the business environment, and increasing access to finance. The authorities recently completed a new five-year development strategy (*Plano Estratégico para o Desenvolvimento Sustentável* – PEDS II) building on the long-term development plan (Cabo Verde Ambition 2030). Priority areas include (i) completing SOE reforms, including through privatization, and improving the efficiency of

[9] The rebasing involved changing the base year from 2007 to 2015 and the updated accounts were published in March 2023.

public enterprises; (ii) promoting economic diversification by leveraging the potential of the blue economy; (iii) reducing the level of informality; and (iv) facilitating access to finance, particularly for small and medium-sized enterprises. The implementation of key reforms will be supported through technical assistance and project financing from the World Bank and the ongoing ECF arrangement. The key macroeconomic assumptions are:

- *Real GDP growth*. Cabo Verde's real GDP expanded by 17 percent in 2022.[10] Growth is projected to decline to 4.5 percent in 2023 and gradually converge to long-term growth of 4.5 percent (which will be supported by key structural reforms described above in paragraph 16).[11]

- *Tourism services*. The framework assumes continued growth in the tourism sector reflecting in part an increase in hotel capacity linked to the opening of new hotels, diversification of markets and steady FDI inflows. The framework assumes continued moderate impact of Russia's invasion of Ukraine as pent-up demand for travel and Cabo Verde being viewed as safe destination will continue to lure visitors. UK, Portugal, Germany, and Belgium are the most common countries of origin of tourists arriving in Cabo Verde. The impact of continued growth in the tourism sector will be evidences through higher services exports and increased tax revenues – with a positive impact on debt sustainability.

- *Inflation*. Inflation increased to 7.9 percent and the GDP deflator to 7.7 percent in 2022 in line with the increase in fuel and commodity prices, due to the impact of the Russia war in Ukraine. Inflation and the GDP deflator are projected to ease to 5 percent and 4.5 percent, respectively in 2023 and 2 percent by 2024 in line with euro area forecast.

- *The use of RSF resources and climate related risks*. RSF disbursements increase external financing by about CVE 2.1 billion in 2024 and CVE 1 billion in 2025. The RSF substitutes more expensive domestic financing. From 2026 onwards, the funding substitution ends and net domestic issuance returns to its prior path. From the balance of payment standpoint, RSF disbursements increase international reserves by CVE 2.1 billion and CVE 1 billion in 2024 and 2025, respectively. The additional reserve buffer supports the authorities' climate-related investments and reforms and helps catalyze financing for climate change mitigation and adaptation strategies. The public investment path is constrained by the need to put public debt dynamics on a firm downward path. Thus, it is below the Nationally Determined Contribution (NDC) estimation of the total funding required to support climate adaptation and mitigation activities. The NDC estimates investment needs (public and private) between now and 2030 at about 6.1 percent of GDP per year. The macro-framework assumes productivity-enhancing and climate-related reforms help lift potential growth.

[10] The 2022 growth rate is mainly explained by the economic activity recovery as the GDP rebasing chiefly impacted the nominal level of GDP but not its trend.

[11] The long-term historical trend growth rate (1980-2019) was 4.8 percent and 4.5 percent considering also the post-COVID period (1980-2022).

- *Public sector deficit*. The current framework is predicated on an ambitious and steadfast revenue-driven fiscal consolidation path. From the expenditure side, the medium-term expenditure path entails a gradual decrease of primary expenditures-to-GDP, taking in to account consistency with the climate agenda, and the reforms needed to lay the groundwork for such policies, with a smooth increase of capital expenditures coupled with the wage bill and use of goods and services growing below inflation after the 2024 increase in both items to partially attenuate the impact from the nominal freezing in the last couple of years. The overall fiscal deficit improved from 7.7 percent of GDP in 2021 to 4.3 percent of GDP in 2022 and is projected to improve further over the medium-term to reach 0.7 percent of GDP in 2027. The fiscal effort in the near and medium term is assumed to be underpinned by improved domestic revenue mobilization and current expenditure restraint. Several revenue measures, such as invoicing electronically at least 50 percent of taxpayers for VAT, the increase in tobacco tax, and the concession of the airport management company have already been implemented. In addition, the authorities have committed to reviewing tax expenditures that would net up to1 percent of GDP in 2025 and help fill the gap due to the delay of the ECOWAS common external tariff. Fiscal adjustment will be implemented with safeguards to protect and broaden support for the vulnerable. Reforms to SOEs are expected to result remove capitalization and on lending expenditures from 2025 and 2027, respectively. The additional income from grants and other revenues will allow for higher investment over 2024 and 2025 before capital spending returns to the baseline path in 2026, which implies more adjustment in that year than under the 2nd review due to the higher-than-expected revenue collection in 2024. The projected improvement in the fiscal balance from a deficit of -4.3 percent of GDP in 2022 to -0.4 percent of GDP by 2027 is expected to result in a reduction in government financial support and would bring net fiscal financing needs[12] to about 0.7 percent of GDP by 2027.

- *Current account deficit*. The medium-term current account deficit is forecasted to be broadly about the same as in the previous DSA and is projected to remain above 5.9 percent of GDP from 2024–26. The baseline scenario assumes a current account deficit of 5.5 percent in 2023 and 6.1 percent in 2024. This reflects the impact of moderate growth in tourism driven by increased capacity, higher fuel, and commodity prices, as well as continued investments in the tourism sector on imports. The current account deficit is projected to decline to about 5.1 percent of GDP in 2027 supported by tourism receipts and steady growth in remittances. Strong export performance and increased remittances, together with higher FDI inflows and IMF financing under ECF and RSF would help sustain international reserves at about 6 months of prospective imports. In comparison with the last DSA, the current account is projected to worsen due to an increase in imports associated with the implementation of the climate reform agenda and the importing of low carbon technologies, while FDI is

[12] Net financial needs take into account the net impact of new borrowing and refinancing of principal payments in line with authorities' fiscal accounts.

projected to improve in the medium term in line with the catalytic impact of the RSF and growth in the tourism sector (which has been the main beneficiary of FDI inflows).

17. The DSA assumes a financing mix consistent with a prudent borrowing strategy, emphasizing external financing on concessional terms, in the near term with the share of domestic debt remaining broadly stable at about 30 percent. Financing for the 2023 budget will be filled mostly with concessional and semi-concessional loans, mainly from multilateral institutions including the World Bank, African Development Bank, other bilateral partners. Multilateral and bilateral funding for budget support around US$95 million, about 3.6 percent of GDP is expected to be provided during 2023. The DSA is premised on continued concessional foreign support in the short and medium term but assumes a very gradual move toward lower concessional resources in the long term, including semi-concessional loans (with a grant element of less than 35 percent) and limited non-concessional borrowing, consistent with Cabo Verde's middle-income status. The domestic debt profile assumes bonds issuance with maturities of at least 4 years in line with the profile of domestic debt portfolio at end-2022. The average interest rate is set to 3 percent for T-bills, and 4 and 5 percent for short-term and medium to longer-term bonds, respectively. These projections are subject to risks associated with a tightening of monetary policy to contain inflationary pressures that could affect the entire yield curve. Finally, the authorities have drawn down the US$32 million (1.2 percent of GDP) of the recent SDR allocations to finance the 2022 and 2023 budget.

18. Tools for assessing the realism of the baseline scenario flag some deviation from historical experience, which are explained below.

- The realism tools indicate that the fiscal adjustment path is ambitious, but staff are of the view that it is achievable through a combination of measures including strengthening of domestic revenue mobilization, and expenditure restraint supported by average growth near potential. The proposed primary balance adjustment path of about 2 percent of GDP over 2023–25 is at the lower bound of the top quartile of the historical distribution for LICs. However, the authorities have identified and implemented some of the policy measures which they estimate could increase revenue collections by close to 1 percent of GDP. In that regard the authorities increased the rate of the tourist tax, implemented the 5 percent duty on previously exempted imports and continue to advance revenue mobilization efforts including from electronic tax invoicing. The adjustment will be supported by relatively persistent and steady growth at about the historical average. The DSA's realism tools do not signal any other signs of over-optimism in terms of large changes to investment or contributions to growth compared to previous DSAs (Figure 5). Tools for assessing the realism of the baseline scenario do not flag significant and systematic deviations from historical experience.

- Drivers of debt dynamics (Figure 4). The contributions of past and projected debt-creating flows to PPG external and overall debt dynamics differ. Interest rates are expected to contribute positively to PPG external debt accumulation, consistent with the historical experience but the impact is smaller, while price and exchange rate changes are projected

to exert downward pressure on debt accumulation to a larger extent than the historical experience. For total public debt, the projected contribution of real GDP growth to public debt reduction is higher compared to the historical five-year change, reflecting a gradual return to potential growth. Continued fiscal consolidation efforts and restructuring of SOEs will limit the contribution of the primary deficit to public debt accumulation relative to what the past five years would suggest. Unexpected changes in the primary deficit, current account/prices, and exchange rates were the main drivers of past forecast errors of debt dynamics.

- Consistency between fiscal adjustment and growth (Figure 5). The projected growth path for 2023 and 2024 is not consistent with multiplier-based projections due to the large one off rebound in growth in 2022. The realism of the expected adjustment is predicated on the authorities' commitment to further fiscal consolidation and restructuring of SOEs. It is also underpinned by a steady increase in economic activity following the return to pre pandemic growth levels, on account of strong activity in the tourism and transportation sectors. In addition, additional growth impetus is expected from structural reforms under the strategic plan for sustainable development (PEDS II).

- Consistency between public investment and growth (Figure 5). The realism tool shows that like historical figures, the contribution of public investment to real GDP growth remains marginal across the 2022 and current DSA, mainly reflecting low multiplier for public investment in line with the substantial import content of capital spending. Public investment is expected to average about 4.5 percent of GDP in the medium term, lower than the 2022 DSA, while private investment is expected to average about 30 percent of GDP over 2023-27.

C. Country Classification and Determination of Stress Test Scenarios

19. Cabo Verde's debt-carrying capacity is assessed as "strong" as in the June 2022 DSA for second review of the Policy Coordination Instrument (PCI) (Text Table 4). The debt-carrying capacity is determined by the composite indicator (CI) combining the World Bank Country Policy and Institutional Assessment (CPIA), external conditions captured by world economic growth and country-specific factors. The methodology is based on the data from the October 2023 World Economic Outlook (WEO) vintage and the 2022 CPIA, the CI score for Cabo Verde stands at 3.24, which is slightly above the threshold of 3.05 applicable for a "strong" rating. The CI score reflects positive contributions from the CPIA (45 percent), international reserves (31 percent), world growth (12 percent), remittances (7 percent) and country real growth rate (5 percent) that are all broadly in line with the last DSA. Debt burden thresholds associated with the strong debt carrying capacity under the framework are summarized in Text Table 5.

Text Table 4. Cabo Verde: CI Score Summary Table

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	3.807	1.47	45%
Real growth rate (in percent)	2.719	5.602	0.15	5%
Import coverage of reserves (in percent)	4.052	56.081	2.27	70%
Import coverage of reserves^2 (in percent)	-3.990	31.450	-1.25	-39%
Remittances (in percent)	2.022	10.912	0.22	7%
World economic growth (in percent)	13.520	2.856	0.39	12%
CI Score			3.24	100%
CI rating			Strong	

Text Table 5. Cabo Verde: Debt Thresholds Under Strong Debt-Carrying Capacity

EXTERNAL debt burden thresholds	Weak	Medium	Strong
PV of debt in % of			
Exports	140	180	240
GDP	30	40	55
Debt service in % of			
Exports	10	15	21
Revenue	14	18	23

DEBT SUSTAINABILITY ANALYSIS

20. The debt sustainability analysis relies, in addition to the baseline projections, on the six standardized stress tests and the contingent liability stress test. While the former uses the default settings, the latter is customized to address potential vulnerabilities stemming from the incomplete coverage of public sector debt as explained in paragraph 2. None of the tailored stress tests is triggered for Cabo Verde.

A. External Public Debt

21. Under the baseline scenario, the PV of PPG external debt-to-GDP ratio remains below its threshold throughout the projection period (Figure 2, Tables 2 and 4). This represents an improvement driven by robust growth, compared to the 2022 DSA when the threshold was breached for one year, and is broadly in line with the June 2023 DSA. The risk of external debt is assessed as moderate, as was the case in the last DSA. The other external debt burden indicators remain comfortably below their prescribed thresholds under the baseline scenario throughout the DSA horizon. The PV of PPG external debt ratios to GDP and exports are expected to steadily decrease over time. Both debt service-to-exports and debt service-to-revenue ratios display similar patterns, decreasing continuously through the projection period.

22. The PV of PPG external debt-to-GDP ratio however breaches its threshold for an extended period under the stress test scenarios (Figure 2, Tables 2 and 4). Under the

most extreme shock, to depreciation, it rises to about 75.1 percent in 2025 before gradually decreasing to the threshold of 55 percent of GDP up to 2030. The threshold is also breached under four of the remaining six standardized bound tests, albeit to different extents with the breach being more protracted under the exports bound test, and under the tailored combined contingent liabilities test from 2023-33.

23. The PV of PPG external debt-to-exports ratio and debt service to export ratio exceeds the respective thresholds from 2023–33 under the export stress test. The projected trajectories of PPG external debt burden indicators appear vulnerable to exports shock, highlighting the potential adverse impact of Cabo Verde's exposure to adverse shocks due to the high concentration of economic and export activity in the tourism sector.

24. Cabo Verde is at moderate risk of external debt distress and has limited space to absorb shocks (Figure 6). Cabo Verde's baseline debt burden indicators are below their respective thresholds, but the PV of the debt to GDP ratio is close enough to its respective threshold in the short- and medium-term. The stress test scenarios particularly to exports pushes three of the indicators protractedly above their respective thresholds (Table 4). As a result, Cabo Verde has limited space to absorb shocks.

B. Total Public Debt

25. The PV of total public debt-to-GDP ratio exceeds the 70 percent benchmark through 2027 under the baseline scenario (Figure 3, Tables 3 and 5) giving rise to a mechanical high-risk signal. The prescribed benchmark is also breached under each of the seven standardized bound tests and the tailored combined test, with combined contingent liabilities shock associated with SOEs' debt being the most severe with the threshold being breached throughout the projection period. Furthermore, the debt outlook, as shown by the other public DSA indicators, is particularly vulnerable to export, growth shocks, and climate disaster shocks.[13] The impact of the shocks, including the climate disaster shock, can be seen in Tables 4 and 5.

C. Risk Ratings and Vulnerabilities

26. Cabo Verde's DSA is classified as "moderate" risk of external debt distress. The PV of PPG external debt-to-GDP ratio remains below threshold for the projection period under the baseline scenario, thereby signaling a moderate risk of external debt distress and is particularly sensitive to export and growth shocks.

27. Cabo Verde's overall public debt is sustainable but remains at high risk of debt distress. The present value of public debt to GDP remains above its threshold under the baseline scenario through to 2027, suggesting a high risk of debt distress. Debt service is

[13] The standardized climate disaster shock assumes an increase of public debt of 10 percent of GDP at the second year of the forecast horizon.

projected to average about 37 percent of revenues over the next five years, which represents a moderately large share of future fiscal revenues. Stress tests indicate that Cabo Verde is most vulnerable to a combined contingent liabilities shock associated with SOEs' debt and growth shock. Under these shocks, public debt would remain above the threshold for a prolonged period. The risk of debt distress is partly mitigated by support from Portugal, the main bilateral creditor through an agreement to swap debt service payments on some debt to Portugal (worth on average about 6.6 million Euro per year) up until 2025 for climate-related investments that was agreed before the RSF negotiations.[14]

28. Uncertainty over the global economic outlook suggests the need for a prudent approach that emphasizes macroeconomic stability, particularly fiscal discipline. High debt levels reduce the space for public expenditures in support of a robust and inclusive economic recovery. The authorities should prioritize efforts to mobilize additional revenues and continue the strategy of only incurring concessional borrowing.

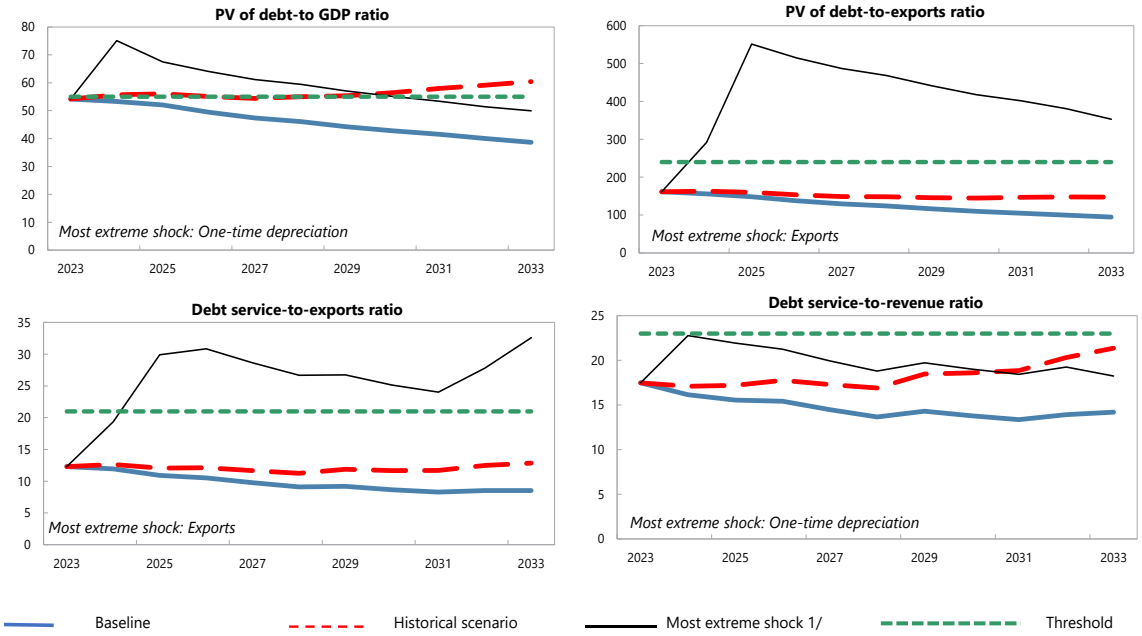
29. There are significant risks to the assessment. The outlook depends primarily on a broadly stable global environment that continues to support a vibrant tourism sector. However, higher fuel and commodity prices and weaker than expected economic outlook in key markets could reduce the rate of economic growth. Medium to long-term debt sustainability would be supported by focused implementation of growth-enhancing structural reforms, particularly actions to reduce fiscal risk from SOEs and address critical infrastructure gaps. Measures to develop the government securities market and lower the costs of domestic borrowing will be also crucial going forward.

D. Authorities' Views

30. The authorities concurred on the immediate need to both adapt to and mitigate climate risks. They underlined the necessity of progressing with a transformative reform agenda to enhance the climate related fiscal policy and build resilience in the energy and water sector. They highlighted their aim to draw in both private and concessional public funding for investments to reinforce climate-focused policies to foster widespread, inclusive, and resilient economic expansion. They again stressed the significance of diminishing poverty and investing in human capital as integral parts of this transformative plan. Additionally, they indicated their plan to define specific areas of reform and align their requests with the proposed RSF program.

[14] Portugal agrees to swap Cape Verde's debt for environmental investment | Reuters.

Figure 2. Cabo Verde: Indicators of Public and Publicly Guaranteed External Debt Under Alternatives Scenarios, 2023–33



Customization of Default Settings	Size	Interactions
Standardized Tests		Yes
Tailored Stress		
Combined CL	Yes	
Natural disaster	No	No
Commodity price	n.a.	n.a.
Market financing	n.a.	n.a.

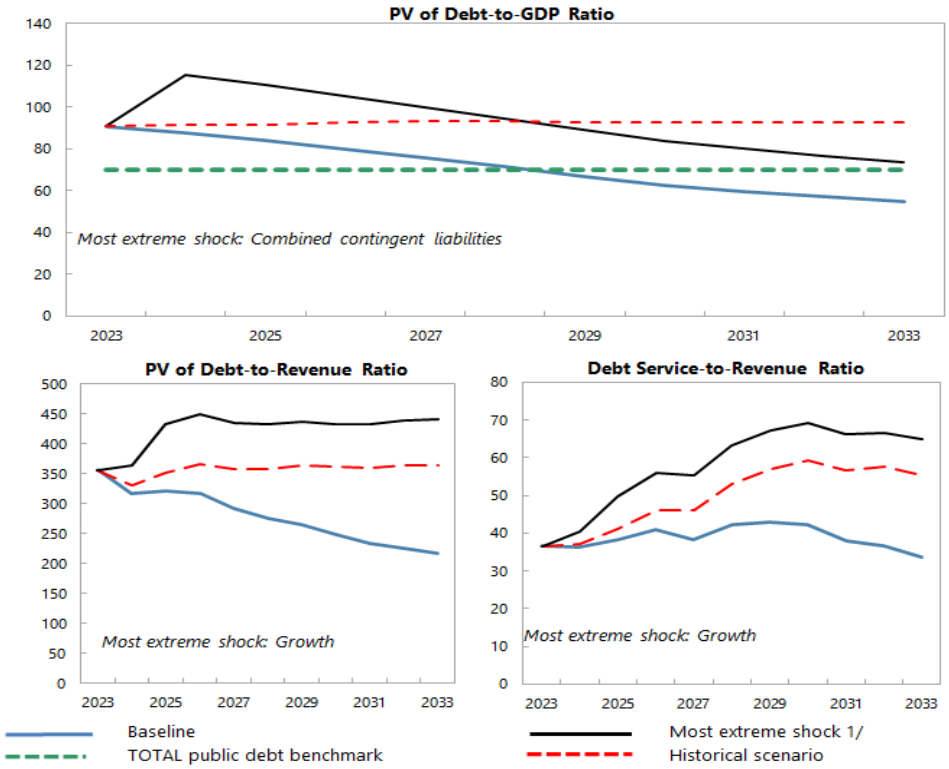
Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.4%	1.4%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	23	23
Avg. grace period	7	7

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 3. Cabo Verde: Indicators of Public Debt Under Alternative Scenarios, 2023–33



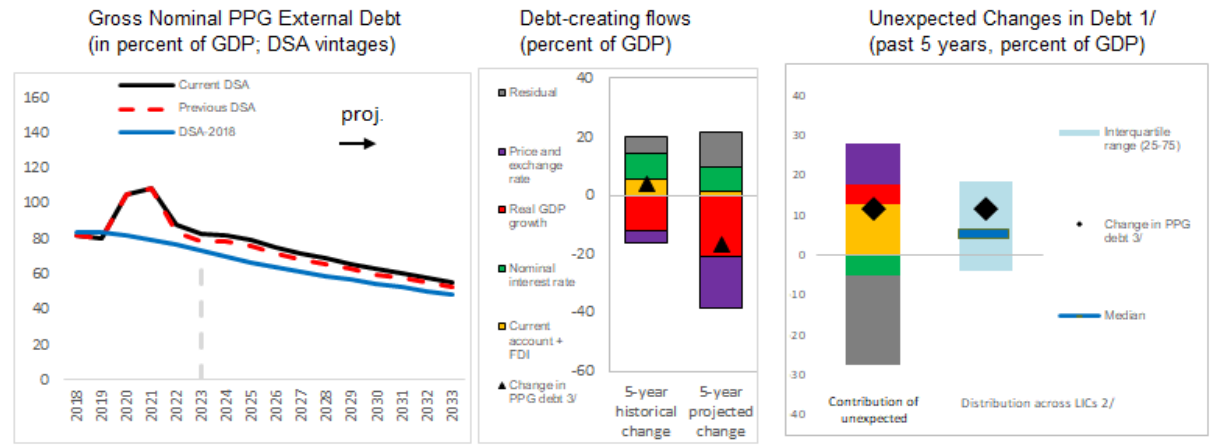
Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	50%	50%
Domestic medium and long-term	49%	49%
Domestic short-term	1%	1%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.4%	1.4%
Avg. maturity (incl. grace period)	23	23
Avg. grace period	7	7
Domestic MLT debt		
Avg. real interest rate on new borrowing	2.9%	2.9%
Avg. maturity (incl. grace period)	6	6
Avg. grace period	0	0
Domestic short-term debt		
Avg. real interest rate	1.0%	1.0%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

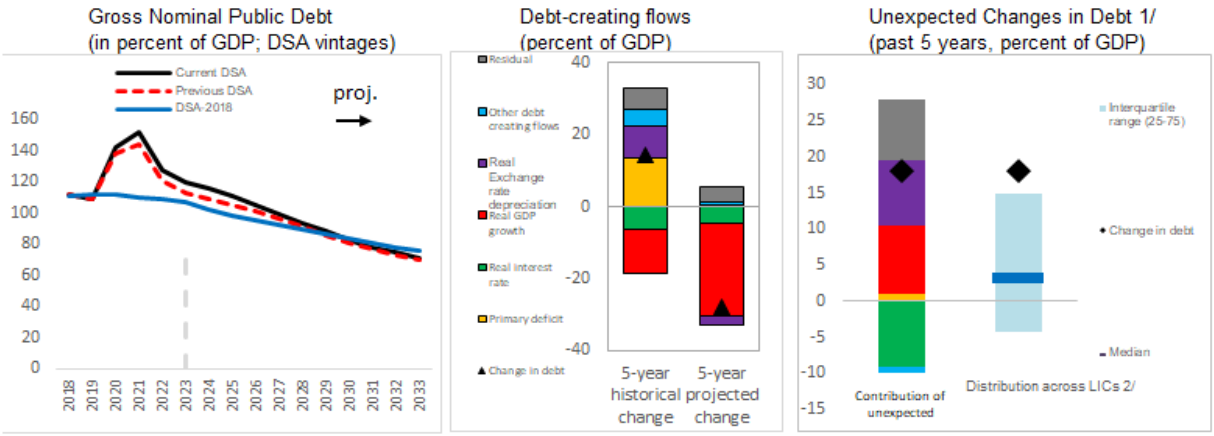
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 4. Cabo Verde: Drivers of Debt Dynamics - Baseline Scenario



Public Debt



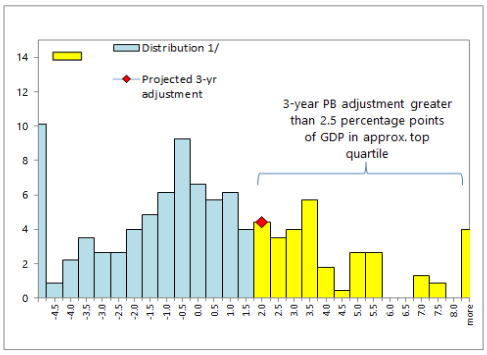
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

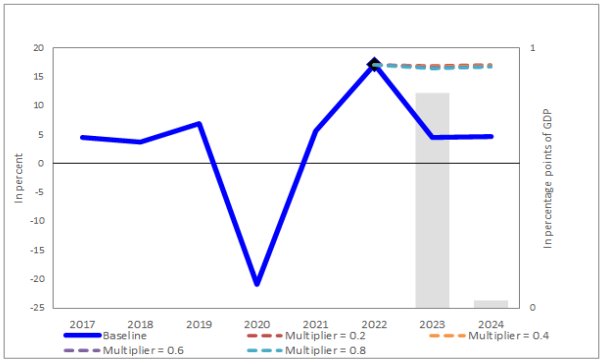
Figure 5. Cabo Verde: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



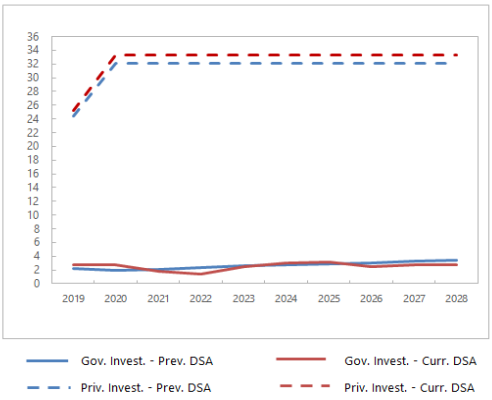
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)

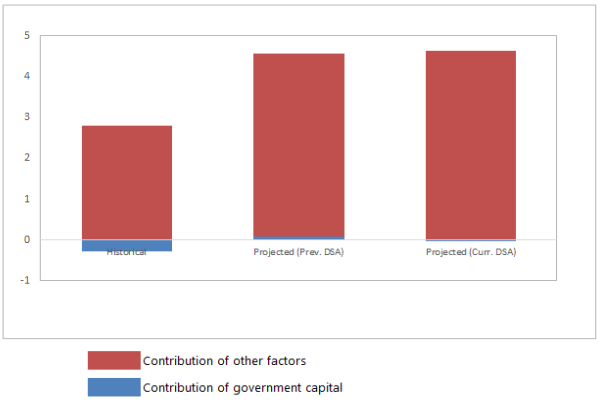
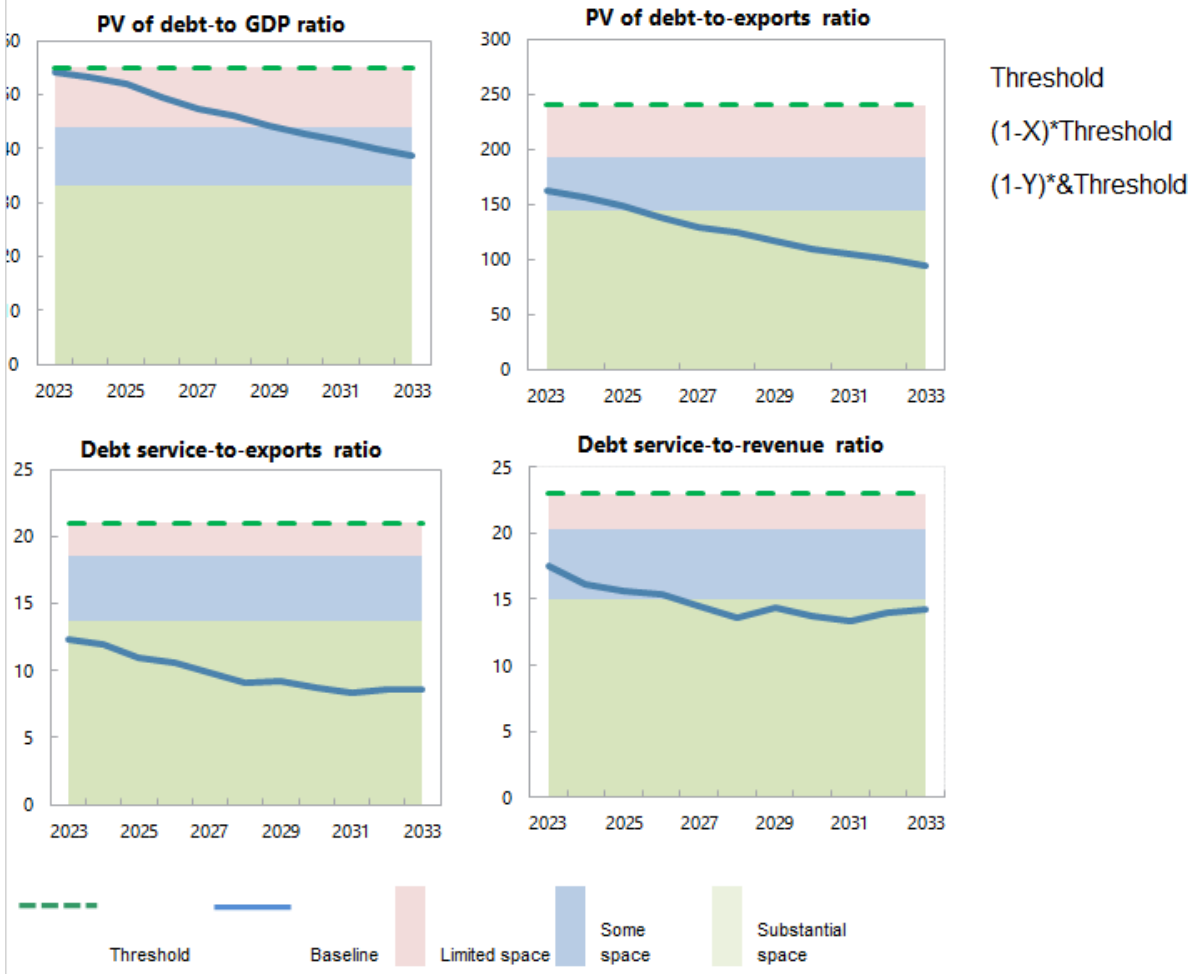


Figure 6. Cabo Verde: Qualification of the Moderate Category, 2023–33[1/]



Sources: Country authorities; and staff estimates and projections.

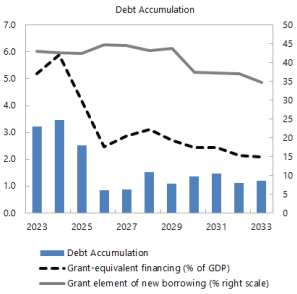
1/ For the PV debt/GDP and PV debt/exports thresholds, x is 20 percent and y is 40 percent. For debt service/Exports and debt service/revenue thresholds, x is 12 percent and y is 35 percent.

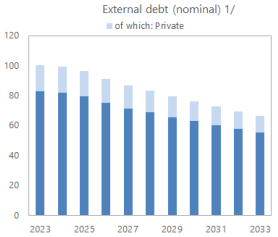
Table 2. Cabo Verde: External Debt Sustainability Framework, Baseline Scenario, 2020–43

(Percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
External debt (nominal) 1/	**125.9**	**128.8**	**106.1**	**100.4**	**99.3**	**96.5**	**91.3**	**86.7**	**83.4**	**66.4**	**36.9**	**101.7**	**83.8**
of which: public and publicly guaranteed (PPG)	**105.1**	**108.2**	**88.0**	**82.7**	**81.9**	**79.4**	**75.1**	**71.3**	**68.8**	**55.2**	**36.9**	**87.6**	**69.2**
Change in external debt	32.2	2.9	-22.7	-5.8	-1.1	-2.7	-5.2	-4.6	-3.3	-3.0	-2.5		
Identified net debt-creating flows	**32.5**	**-3.0**	**-15.4**	**-2.6**	**-2.4**	**-2.0**	**-2.1**	**-2.2**	**-2.9**	**-2.9**	**-6.3**	**-0.3**	**-2.8**
Non-interest current account deficit	**13.1**	**10.6**	**2.6**	**4.1**	**4.4**	**4.6**	**4.1**	**3.8**	**3.0**	**1.8**	**-3.5**	**4.2**	**3.1**
Deficit in balance of goods and services	32.0	32.4	20.3	22.7	23.7	22.9	21.3	20.3	18.8	14.9	7.1	**19.4**	**19.1**
Exports	23.2	20.4	35.6	33.6	34.2	35.0	35.9	36.6	37.1	40.9	56.8		
Imports	55.2	52.8	55.9	56.3	57.8	57.9	57.2	56.9	55.9	55.9	64.0		
Net current transfers (negative = inflow)	-18.9	-21.6	-17.9	-16.2	-16.5	-16.3	-15.7	-15.4	-15.1	-13.2	-10.9	**-15.8**	**-15.0**
of which: official	-2.7	-2.5	-1.4	-0.3	-0.8	-0.7	-0.6	-0.6	-0.6	-0.4	0.0		
Other current account flows (negative = net inflow)	0.0	-0.1	0.2	-2.4	-2.8	-2.0	-1.5	-1.1	-0.7	0.1	0.3	**0.6**	**-1.0**
Net FDI (negative = inflow)	**-3.4**	**-4.6**	**-4.9**	**-4.3**	**-4.1**	**-3.9**	**-3.8**	**-3.7**	**-3.7**	**-3.4**	**-2.6**	**-4.8**	**-3.7**
Endogenous debt dynamics 2/	**22.8**	**-9.1**	**-13.1**	**-2.4**	**-2.6**	**-2.7**	**-2.5**	**-2.3**	**-2.1**	**-1.4**	**-0.2**		
Contribution from nominal interest rate	2.2	1.6	1.1	1.8	1.8	1.6	1.6	1.6	1.6	1.5	1.4		
Contribution from real GDP growth	23.8	-6.5	-19.6	-4.2	-4.4	-4.4	-4.2	-3.9	-3.7	-2.9	-1.6		
Contribution from price and exchange rate changes	-3.3	-4.2	5.5	…	…	…	…	…	…	…	…		
Residual 3/	**-0.3**	**6.0**	**-7.3**	**-3.2**	**1.3**	**-0.7**	**-3.1**	**-2.4**	**-0.4**	**-0.1**	**3.9**	**3.3**	**-0.8**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**…**	**…**	**58.3**	**54.2**	**53.3**	**52.0**	**49.5**	**47.4**	**46.1**	**38.7**	**26.6**		
PV of PPG external debt-to-exports ratio	**…**	**…**	**163.8**	**161.4**	**156.1**	**148.6**	**137.8**	**129.5**	**124.1**	**94.5**	**46.7**		
PPG debt service-to-exports ratio	**18.2**	**14.8**	**6.3**	**12.3**	**11.9**	**10.9**	**10.5**	**9.8**	**9.1**	**8.5**	**4.8**		
PPG debt service-to-revenue ratio	**19.3**	**13.9**	**10.4**	**17.48**	**16.2**	**15.6**	**15.4**	**14.5**	**13.7**	**14.2**	**10.6**		
Gross external financing need (Million of U.S. dollars)	696.0	530.9	308.2	474.6	517.1	563.0	591.3	614.0	616.7	834.4	1109.3		
Key macroeconomic assumptions													
Real GDP growth (in percent)	-20.8	5.6	17.1	4.5	4.7	4.7	4.6	4.6	4.5	4.5	4.4	**2.4**	**4.6**
GDP deflator in US dollar terms (change in percent)	3.6	3.4	-4.1	8.6	3.3	2.4	2.2	1.6	1.6	2.0	2.0	**-0.1**	**2.7**
Effective interest rate (percent) 4/	2.0	1.3	1.0	1.9	1.9	1.8	1.8	1.9	2.0	2.4	3.8	**2.1**	**2.0**
Growth of exports of G&S (US dollar terms, in percent)	-57.5	-4.0	96.5	7.1	10.0	10.0	9.6	8.3	7.7	9.0	11.0	**6.6**	**8.7**
Growth of imports of G&S (US dollar terms, in percent)	-21.0	4.5	19.0	14.3	11.1	7.5	5.6	5.5	4.5	7.7	4.2	**1.7**	**7.4**
Grant element of new public sector borrowing (in percent)	…	…	…	42.9	42.7	42.4	44.7	44.6	43.1	34.8	33.2	**…**	**41.0**
Government revenues (excluding grants, in percent of GDP)	21.9	21.8	21.5	23.6	25.2	24.6	24.5	24.7	24.7	24.6	25.7	**21.7**	**24.5**
Aid flows (in Million of US dollars) 5/	221.8	199.6	106.4	185.0	202.6	153.1	115.4	134.7	141.9	130.5	215.5		
Grant-equivalent financing (in percent of GDP) 6/	…	…	…	5.2	5.9	4.2	2.5	2.9	3.1	2.1	2.0	**…**	**3.2**
Grant-equivalent financing (in percent of external financing) 6/	…	…	…	54.0	55.3	53.1	53.6	58.3	54.6	43.8	42.8	**…**	**51.7**
Nominal GDP (Million of US dollars)	1,830	1,999	2,246	2,550	2,757	2,958	3,163	3,361	3,569	4,903	9,219		
Nominal dollar GDP growth	-18.0	9.2	12.4	13.5	8.1	7.3	6.9	6.2	6.2	6.6	6.5	**2.1**	**7.4**
Memorandum items:													
PV of external debt 7/	…	…	76.4	71.9	70.7	69.2	65.7	62.8	60.7	49.8	26.6		
In percent of exports	…	…	214.6	214.1	206.9	197.6	182.9	171.5	163.6	121.7	46.7		
Total external debt service-to-exports ratio	122.3	100.8	45.1	56.0	54.1	52.3	51.0	49.6	48.6	45.4	32.0		
PV of PPG external debt (in Million of US dollars)			1309.4	1382.0	1470.0	1539.6	1564.9	1592.3	1643.8	1896.9	2449.8		
(PVt-PVt-1)/GDPt-1 (in percent)				3.2	3.5	2.5	0.9	0.9	1.5	1.2	-0.1		
Non-interest current account deficit that stabilizes debt ratio	-19.1	7.7	25.3	9.9	5.4	7.3	9.4	8.4	6.3	4.8	-1.0		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + εα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, ε=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

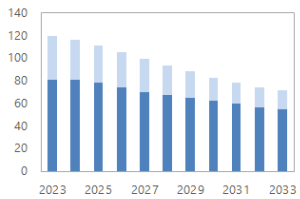
Table 3. Cabo Verde: Public Sector Debt Sustainability Framework, Baseline Scenario, 2020–43

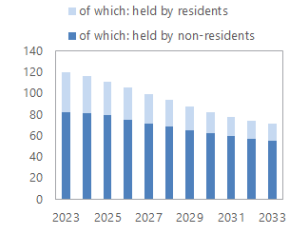
(Percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**142.6**	**152.0**	**127.1**	**119.9**	**116.2**	**111.2**	**105.4**	**99.4**	**93.9**	**71.3**	**44.5**	**118.6**	**94.6**
of which: external debt	**105.1**	**108.2**	**88.0**	**82.7**	**81.9**	**79.4**	**75.1**	**71.3**	**68.8**	**55.2**	**36.9**	**87.6**	**69.2**
Change in public sector debt	33.2	9.4	-24.9	-7.3	-3.6	-5.1	-5.8	-6.0	-5.6	-3.1	-4.1		
Identified debt-creating flows	**28.4**	**7.6**	**-21.7**	**-7.0**	**-4.9**	**-5.5**	**-5.8**	**-6.1**	**-5.6**	**-2.6**	**-2.1**	**4.5**	**-5.0**
Primary deficit	**6.6**	**5.4**	**2.0**	**1.1**	**1.1**	**0.0**	**-1.0**	**-1.0**	**-1.0**	**0.6**	**-0.2**	**2.7**	**-0.2**
Revenue and grants	25.2	23.9	22.4	25.5	27.6	26.0	25.3	25.9	25.8	25.3	26.4	**24.0**	**25.7**
of which: grants	3.3	2.1	0.9	1.9	2.3	1.5	0.7	1.2	1.1	0.7	0.7		
Primary (noninterest) expenditure	31.8	29.3	24.4	26.7	28.7	26.0	24.3	24.9	24.8	25.9	26.1	**26.7**	**25.5**
Automatic debt dynamics	**20.6**	**3.1**	**-23.9**	**-8.7**	**-6.2**	**-5.6**	**-4.9**	**-5.1**	**-4.6**	**-3.2**	**-1.9**		
Contribution from interest rate/growth differential	30.4	-9.2	-29.1	-8.7	-6.2	-5.6	-4.9	-5.1	-4.6	-3.2	-1.9		
of which: contribution from average real interest rate	1.7	-1.7	-6.9	-3.2	-0.8	-0.4	0.0	-0.5	-0.3	0.0	0.1		
of which: contribution from real GDP growth	28.7	-7.6	-22.2	-5.5	-5.4	-5.2	-4.9	-4.6	-4.3	-3.2	-2.1		
Contribution from real exchange rate depreciation	-9.8	12.3	5.2	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**1.2**	**-0.9**	**0.2**	**0.5**	**0.2**	**0.1**	**0.1**	**0.0**	**0.0**	**0.0**	**0.0**	**1.8**	**0.1**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	-0.8	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	1.2	-0.9	0.2	0.5	1.0	0.1	0.1	0.0	0.0	0.0	0.0		
Residual	**4.8**	**1.8**	**-3.2**	**-0.3**	**1.3**	**0.4**	**0.0**	**0.1**	**0.1**	**-0.5**	**-1.9**	**0.0**	**-0.1**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**97.1**	**90.8**	**87.5**	**83.7**	**79.9**	**75.6**	**71.2**	**54.8**	**34.2**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**433.3**	**356.0**	**317.6**	**321.5**	**316.3**	**291.8**	**275.8**	**217.1**	**129.8**		
Debt service-to-revenue and grants ratio 3/	**39.3**	**36.9**	**31.8**	**36.5**	**36.3**	**38.4**	**40.9**	**38.3**	**42.2**	**33.6**	**20.6**		
Gross financing need 4/	17.7	13.4	9.3	11.0	11.3	10.1	9.4	8.9	9.9	9.1	5.2		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	-20.8	5.6	17.1	4.5	4.7	4.7	4.6	4.6	4.5	4.5	4.4	**2.4**	**4.6**
Average nominal interest rate on external debt (in percent)	1.4	0.8	0.5	0.7	0.7	0.6	0.6	0.7	0.7	1.0	1.6	**1.1**	**0.7**
Average real interest rate on domestic debt (in percent)	4.1	5.2	-3.4	-0.8	2.6	3.1	3.5	1.5	1.9	3.1	3.2	**3.4**	**2.3**
Real exchange rate depreciation (in percent, + indicates depreciation)	-9.7	12.8	6.0	...	...	...	...	...	...	...	...	**3.4**	**...**
Inflation rate (GDP deflator, in percent)	0.7	-0.3	7.7	4.7	2.0	2.0	2.0	2.0	2.0	2.0	2.0	**1.6**	**2.2**
Growth of real primary spending (deflated by GDP deflator, in percent)	-0.3	-2.5	-2.7	14.2	12.7	-5.0	-2.6	7.3	4.4	6.2	4.3	**0.0**	**5.3**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-26.6	-4.0	26.9	8.4	4.7	5.1	4.8	5.0	4.6	3.8	3.9	**-1.2**	**4.9**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**Yes**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government plus social security and extra budgetary funds, central bank, government-guaranteed debt . Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 4. Cabo Verde: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt 2023–33

(Percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	54	53	52	49	47	46	44	43	42	40	39
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	54	**56**	**56**	**55**	54	55	**55**	**56**	**58**	**59**	**60**
B. Bound Tests											
B1. Real GDP growth	54	**60**	**66**	**63**	**60**	**59**	**56**	54	53	51	49
B2. Primary balance	54	55	**55**	53	51	50	48	47	46	45	43
B3. Exports	54	**61**	**73**	**70**	**68**	**66**	**64**	**62**	**60**	**58**	55
B4. Other flows 3/	54	**56**	**58**	55	53	51	49	48	46	45	43
B5. Depreciation	54	**75**	**68**	**64**	**61**	**59**	**57**	**55**	53	51	50
B6. Combination of B1-B5	54	**65**	**69**	**66**	**63**	**61**	**59**	**57**	**56**	53	51
C. Tailored Tests											
C1. Combined contingent liabilities	54	**64**	**63**	**62**	**60**	**60**	**59**	**58**	**57**	**56**	54
C2. Natural disaster	54	**57**	**56**	54	52	51	50	49	48	46	45
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	55	55	55	55	55	55	55	55	55	55	55
PV of debt-to-exports ratio											
Baseline	161	156	149	138	129	124	116	110	105	100	95
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	161	163	160	153	149	148	146	145	147	148	148
B. Bound Tests											
B1. Real GDP growth	161	156	149	138	129	124	116	110	105	100	95
B2. Primary balance	161	160	158	147	140	135	127	121	117	111	105
B3. Exports	161	**292**	**551**	**515**	**487**	**468**	**442**	**418**	**401**	**381**	**353**
B4. Other flows 3/	161	165	164	153	144	138	130	122	117	112	105
B5. Depreciation	161	156	137	127	119	114	106	100	96	91	87
B6. Combination of B1-B5	161	222	171	**252**	238	228	215	203	194	184	172
C. Tailored Tests											
C1. Combined contingent liabilities	161	187	181	172	165	161	155	149	144	139	133
C2. Natural disaster	161	171	164	153	146	141	134	128	123	118	113
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	240	240	240	240	240	240	240	240	240	240	240
Debt service-to-exports ratio											
Baseline	12	12	11	11	10	9	9	9	8	9	9
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	12	13	12	12	12	11	12	12	12	12	13
B. Bound Tests											
B1. Real GDP growth	12	12	11	11	10	9	9	9	8	9	9
B2. Primary balance	12	12	11	11	10	9	9	9	8	9	9
B3. Exports	12	19	**30**	**31**	**29**	**27**	**27**	**25**	**24**	**28**	**33**
B4. Other flows 3/	12	12	11	11	10	9	9	9	9	9	10
B5. Depreciation	12	12	11	10	10	9	9	8	8	8	8
B6. Combination of B1-B5	12	15	18	17	16	15	15	14	14	16	16
C. Tailored Tests											
C1. Combined contingent liabilities	12	12	12	11	10	10	10	9	9	9	9
C2. Natural disaster	12	12	11	11	10	10	10	9	9	9	9
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	21	21	21	21	21	21	21	21	21	21	21
Debt service-to-revenue ratio											
Baseline	17	16	16	15	14	14	14	14	13	14	14
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	17	17	17	18	17	17	18	19	19	20	21
B. Bound Tests											
B1. Real GDP growth	17	18	20	20	18	17	18	17	17	18	18
B2. Primary balance	17	16	16	16	15	14	15	14	14	15	15
B3. Exports	17	16	16	17	16	15	16	15	15	17	21
B4. Other flows 3/	17	16	16	16	15	14	15	14	14	15	16
B5. Depreciation	17	23	22	21	20	19	20	19	18	19	18
B6. Combination of B1-B5	17	17	19	18	17	16	17	16	16	18	19
C. Tailored Tests											
C1. Combined contingent liabilities	17	16	16	16	15	15	15	15	14	15	15
C2. Natural disaster	17	16	16	16	15	14	15	14	14	14	15
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	23	23	23	23	23	23	23	23	23	23	23

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 5. Cabo Verde: Sensitivity Analysis for Key Indicators of Public Debt, 2023-33

(Percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	**91**	**88**	**84**	**80**	**76**	**71**	67	63	60	57	55
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**91**	**91**	**92**	**93**	**93**	**93**	**93**	**92**	**92**	**92**	**92**
B. Bound Tests											
B1. Real GDP growth	**91**	**101**	**114**	**114**	**114**	**113**	**112**	**111**	**111**	**111**	**112**
B2. Primary balance	**91**	**91**	**92**	**87**	**83**	**78**	**73**	69	65	63	60
B3. Exports	**91**	**96**	**105**	**101**	**96**	**91**	**87**	**82**	**78**	**75**	**71**
B4. Other flows 3/	**91**	**90**	**89**	**85**	**81**	**76**	**72**	68	64	62	59
B5. Depreciation	**91**	**109**	**103**	**98**	**92**	**87**	**81**	**76**	**72**	68	66
B6. Combination of B1-B5	**91**	**97**	**100**	**97**	**94**	**90**	**86**	**83**	**80**	**77**	**75**
C. Tailored Tests											
C1. Combined contingent liabilities	**91**	**115**	**110**	**105**	**100**	**94**	**89**	**84**	**80**	**77**	**74**
C2. Natural disaster	**91**	**97**	**93**	**89**	**85**	**80**	**76**	**71**	68	65	63
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	70	70	70	70	70	70	70	70	70	70	70
PV of Debt-to-Revenue Ratio											
Baseline	356	318	322	316	292	276	264	247	235	226	217
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	356	330	351	366	358	358	364	362	361	364	364
B. Bound Tests											
B1. Real GDP growth	356	363	433	450	434	432	437	432	432	438	441
B2. Primary balance	356	330	352	346	319	302	289	271	257	248	238
B3. Exports	356	347	404	399	371	354	342	323	309	297	282
B4. Other flows 3/	356	328	343	338	312	296	284	267	254	244	234
B5. Depreciation	356	394	395	386	356	335	320	299	283	271	260
B6. Combination of B1-B5	356	349	382	384	360	347	339	324	312	305	296
C. Tailored Tests											
C1. Combined contingent liabilities	356	419	423	417	385	366	351	330	314	303	292
C2. Natural disaster	356	352	357	353	327	310	299	281	268	259	251
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	37	36	38	41	38	42	43	42	38	37	34
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	37	37	41	46	46	53	57	59	57	57	55
B. Bound Tests											
B1. Real GDP growth	37	41	50	56	55	63	67	69	66	67	65
B2. Primary balance	37	36	40	45	43	47	47	47	42	39	37
B3. Exports	37	36	39	43	40	44	44	44	39	40	40
B4. Other flows 3/	37	36	39	41	39	43	43	43	38	38	35
B5. Depreciation	37	40	45	49	46	50	52	52	48	48	45
B6. Combination of B1-B5	37	39	44	49	47	53	55	56	53	52	49
C. Tailored Tests											
C1. Combined contingent liabilities	37	36	54	56	53	57	58	58	46	44	41
C2. Natural disaster	37	37	44	46	44	48	49	48	42	41	37
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.